

Lord Mayo, Viceroy of India (1869–72), was keen to connect the GIPR line to Indore and then Neemuch and Ajmer (in present-day Rajasthan), for strategic and trading purposes. After long negotiations that lasted five to six months, Holkar of Indore gave the Government of India 1 million pound sterling to construct the Khandwa–Indore line. In exchange, he would receive an interest of 4.5 per cent per annum and half the surplus net profits. By 1878, lines were open across the region, including Sanawad, Mortakka, Choral, Indore, and the important Mhow, because of its military base. Lines on the Holkar State Railway handled most of Malwa's export and import.

Maharaja Scindia of Gwalior followed suit. He offered the Government of India a loan of 750,000 pounds sterling to construct the Gwalior–Agra line followed by another payment of the same amount to build the Indore–Neemuch line. Following the success of Holkar and Scindia, the British hoped that the royal family of Bhopal would join too, which they did, and the Bhopal–Itarsi Railway was built with the Government paying for sections in its territory as well as half the cost of the bridge over the Nerbudda (Narmada). The Itarsi–Hoshangabad section opened in June 1882 and the Hoshangabad–Bhopal section opened in November 1884. The royal state of Rajpipla (in present-day Gujarat) got its first stretch of a 30 km line in 1897. It connected to the BB&CI railway line at Ankleshwar and was extended to Nandod in 1917 with the construction of the Karjan River bridge.